of a company is a minus $7 and enough people figure it out, it never helps the stock price. I ought to know. Magellan was a large shareholder.

When you buy a stock for its book value, you have to have a detailed understanding of what those values really are. At Penn Central, tunnels through mountains and useless rail cars counted as assets.

MORE HIDDEN ASSETS

Just as often as book value overstates true worth, it can understate true worth. This is where you get the greatest asset plays.

Companies that own natural resources—such as land, timber, oil, or precious metals—carry those assets on their book at a fraction of the true value. For instance, in 1987, Handy and Harman, a manufacturer of precious metals products, had a book value of $7.83 per share, including its rather large inventories of gold, silver, and platinum. But these inventories are carried on the books at the prices Handy and Harman originally paid for the metals—and that could have been thirty years ago. At today's prices ($6.40 an ounce for silver and $415 for gold) the metals are worth over $19 per share.

With Handy and Harman stock selling for around $17 per share, less than the value of the metals alone, is this a good asset play? Our friend Buffett thought so. He's held a large position in Handy and Harman for several years, but the stock hasn't gone anywhere, the company's earnings are spotty, and the diversification program hasn't been a rousing success, either. (You already know about diversification programs.)

Recently it was announced that Buffett is cutting back his interest in the company. So far, Handy and Harman looks like the only bad investment he's ever made, in spite of its hidden asset potential. But if gold and silver prices rise dramatically, so will this stock.

There are many kinds of hidden assets besides gold and silver. Brand names such as Coca-Cola or Robitussin have tremendous value that isn't reflected on the books. So do patented drugs, cable franchises, TV and radio stations—all are carried at original cost, then depreciated until they, too, disappear from the asset side of the balance sheet.

I've already mentioned Pebble Beach, a great hidden asset play in real estate. I could still kick myself for missing that stock. But real estate plays like that are all over the place; railroads are probably the best examples. Not only do Burlington Northern, Union Pacific, and Santa Fe Southern Pacific own vast amounts of land, as I mentioned before, but it's all carried on the books at a cost of next to nothing.

Santa Fe Southern Pacific is California's largest private landowner, with 1.3